We tested whether NGO campaigns against banks move share prices, on 2,547 events from 2010 to 2018

Tasks chosen: Day 1, Day 2, Tasks #4, #5 and #6. **Not done:** Tasks #1, #2, #3 and #7.

Sigwatch NGO reports
73,094 rows, 2010 to 2018

Datastream share prices
162 series, factors, FX rates

Clean the events
Name match to 64 banks, repeats and same-day conflicts out: 2,631 events

Clean the returns
Non-banks, illiquid series and holidays out, dividends in, in US dollars: 126 banks

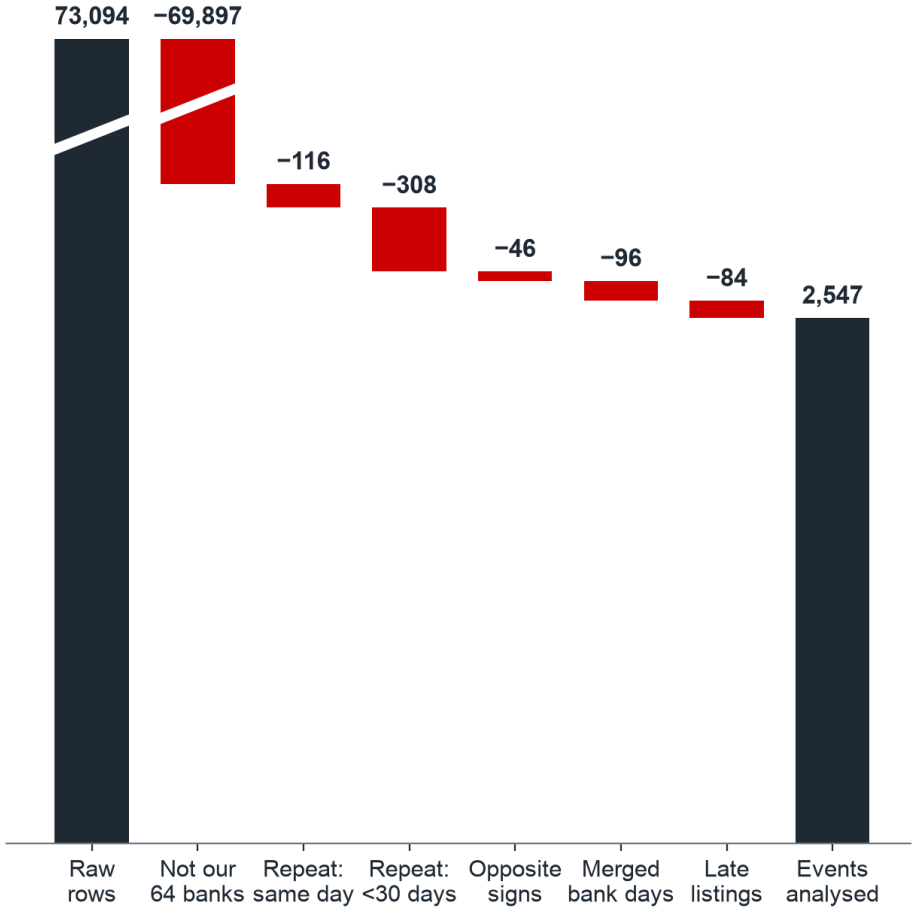
Estimate the normal return
Rolling market model and Fama-French five factors + momentum, on 250 days ending 50 days before the event

Event study (Krüger, 2015)
CARs over [−10, +10], winsorised:
2,547 events on 60 banks,
2,076 bad and 337 good news

Test the reaction
Clustered mean, median, BMP, sign test;
bad vs good news;
splits such as COP21, Trump

Stress-test the answer
8 alternative setups, random-day placebo,
Diff-in-Diff against never-targeted banks, power curve

From raw Sigwatch rows to the events we test

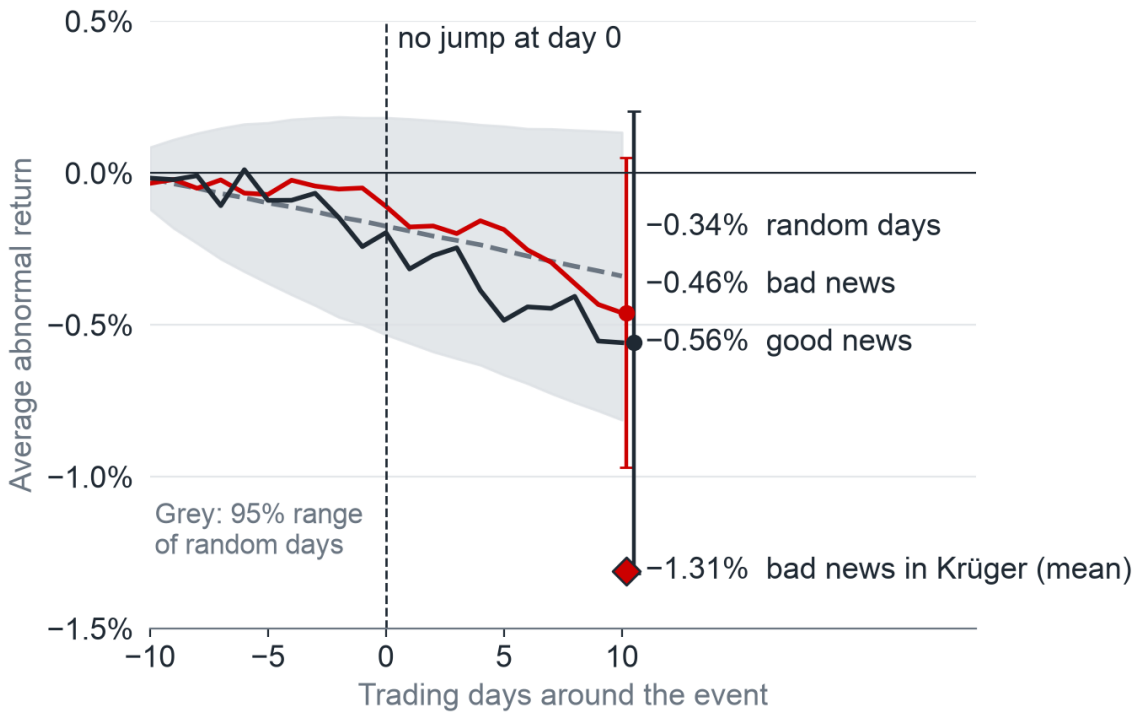


First two bars cut: they are far off the scale

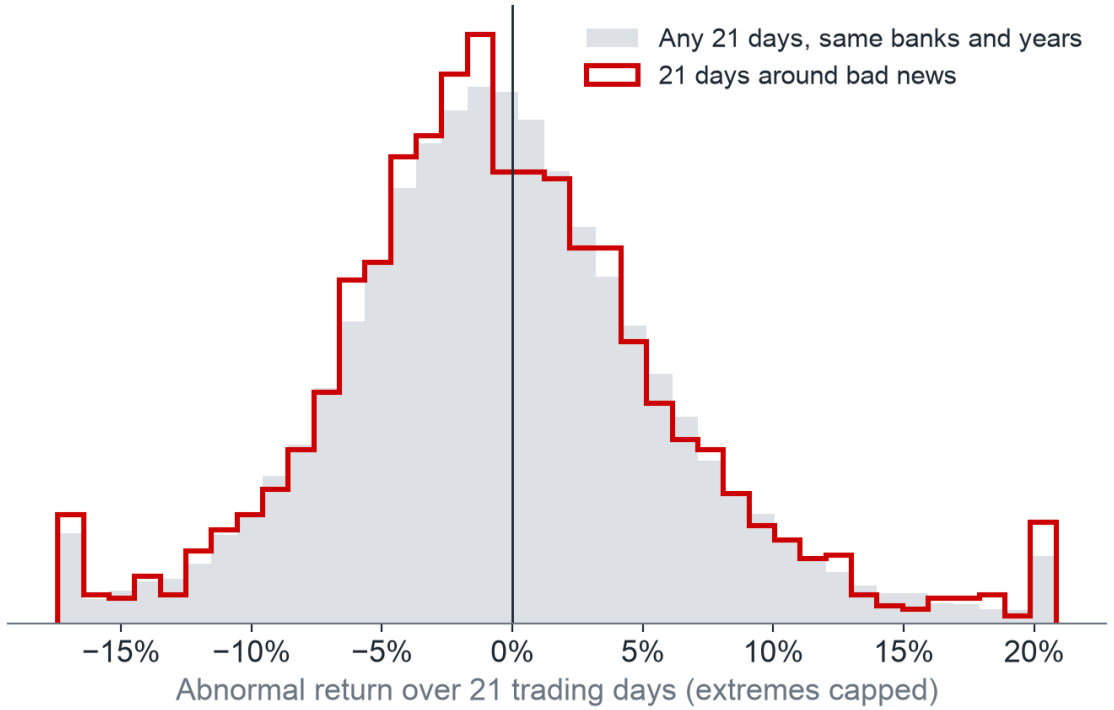
Source: Sigwatch, Datastream, Ken French data library. Group 4, 20598 Finance with Big Data

Over 21 days, a campaign is not a share price loss we can tell apart from noise, and good news falls too

No jump at day 0, and random days drift too



A campaign window looks like any other 21 days



What does not hold up

- Against the market, the typical fall is near Krüger's
- With more risk factors it shrinks to −0.24% and is no longer significant
- Against never-targeted banks: −0.37%, not significant

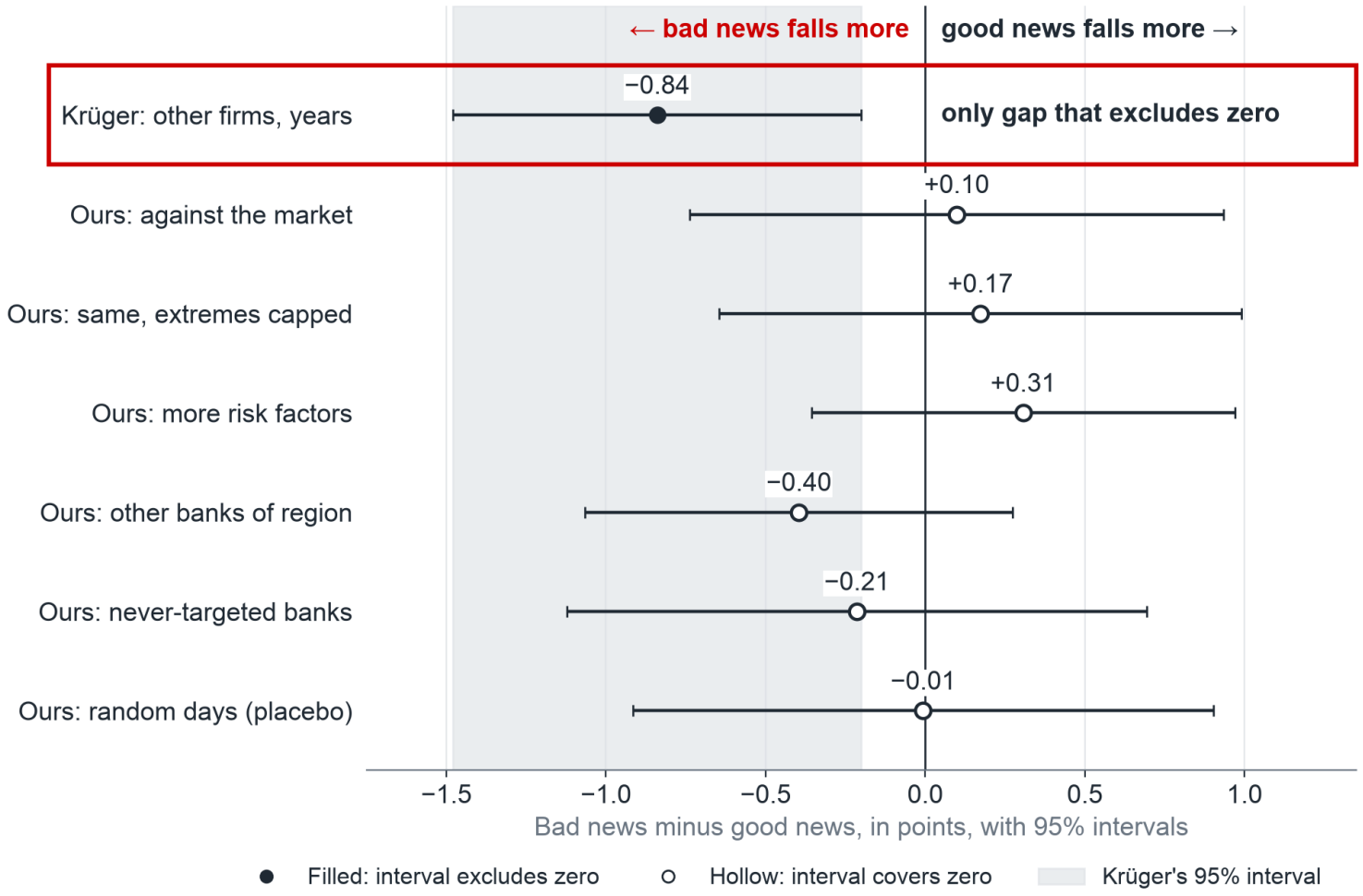
What we find

- Bad news: mean −0.46%, median −0.88% (Krüger: −1.31% and −1.11%)
- Good news: mean −0.56%, so the gap cannot be told from zero (p = 0.679)
- Campaign windows fall 55.7% of the time, any 21 days 54.5%

Source: Sigwatch, Datastream, Ken French data library; Krüger (2015). 21 trading days around each event

Only in Krüger does bad news clearly stand apart from good news; in our bank data it does not

Bad news minus good news over 21 trading days, by benchmark



So what: one campaign is no measurable share price risk here, but we cannot rule out an effect of Krüger's size.

Why we may differ from Krüger (untested)

- He: US firms of all sectors, 2001 to 2007. We: US, UK and EU banks, 2010 to 2018
- His events are dated to press news; NGO dates may lag, and only 1 in 5 of our events names the bank in the headline
- Banks are hit so often (median: 12 other events in the window) that one report may be no news

With more time

- A Factiva news filter
- Tasks #1 and #2 on press and social media
- Never-targeted banks matched on size

Source: Sigwatch, Datastream, Ken French data library; Krüger (2015). Our rows from "extremes capped" down cap extremes